

24STCV09094 24STCV09094

County: los-angeles

Division: Civil Law and Motion

Department: 11

Hearing date: 2026-08-24

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C11%2C08%2F24%2F2026

Source SHA-256: d3d8d6d19e8f12d86ecb9f9820421e61e308f086d8432c2edcd2a3d62177b347

Case Number: 24STCV09094 Hearing Date: August 24, 2026 Dept: 11

Preliminary

Approval of Class Action Settlement

Department 11

Jerammy Sanchez v. UAG Cerritos I, LLC, et al.

Case Number: 24STCV09094

Hearing: August 24, 2026

TENTATIVE RULING

CONTINUE

preliminary approval for the parties to address the issues listed in the accompanying checklist.

BACKGROUND

This is a wage and hour class action. On April 10, 2024, Plaintiff Jerammy Sanchez ("Plaintiff" or "Sanchez"), individually and on behalf of all others similarly situated, filed this putative class action against Defendants UAG Cerritos I, LLC d.b.a. Penske Chevrolet of Cerritos; UAG Cerritos, LLC d.b.a. Penske Buick GMC of Cerritos; and Does 1 through 100 (collectively, "Defendants") asserting causes of action for: (1) minimum wage violations (Labor Code §§ 1182.12, 1194, 1194.2, 1197); (2) failure to pay all

overtime wages (Labor Code §§204, 510, 558, 1194, and 1198); (3) meal period violations (Labor Code §§226.7, 512, and 558); (4) rest period violations (Labor Code §§226.7, 516, and 558); (5) wage statement violations (Labor Code §226 et seq.); (6) waiting time penalties (Labor Code §§201-203); (7) failure to indemnify for all necessary business expenditures (Labor Code §§2802 and 2804); and (8) unfair competition (Business and Professions Code §17200 et seq.). Plaintiff alleges that Defendants operate a group of car dealerships throughout Los Angeles County. Plaintiff worked for Defendants as a non-exempt “Internet Salesman” or “Sales Representative” from approximately September 2019 to May 2023.

On April 10, 2024, Plaintiff sent written notice to the Labor and Workforce Development Agency (“LWDA”) and Defendants pursuant to Labor Code section 2699.3, subdivision (a). (Declaration of Sean M. Blakely (“Blakely Decl.”), ¶9, Ex. B.)

On June 17, 2024, Plaintiff filed the operative First Amended Class and Representative Action Complaint (“FAC”) adding a cause of action for civil penalties under the Private Attorneys General Act (“PAGA”) (Labor Code §2698 et seq.).

On January 16, 2025, the parties participated in a full-day mediation with Steven G. Mehta, Esq., and at the end of the mediation, the parties reached a settlement based on the mediator’s proposal. (Blakely Decl., ¶11.) A copy of the fully executed Stipulation of Settlement (“Stipulation”) is attached to counsel Blakely’s declaration as Exhibit A. (Ibid., Ex. A.)

Now before the Court is the Motion for Preliminary Approval of Class Action Settlement (“MPA”), filed on February 11, 2026.

SETTLEMENT

CLASS DEFINITION

.

“Settlement

Class” means all current and former non-exempt employees who worked for Defendants UAG Cerritos I, LLC d.b.a. Penske Chevrolet of Cerritos and UAG Cerritos, LLC d.b.a. Penske Buick GMC of Cerritos (“Defendants”) in California

from April 10, 2023, through September 2, 2025 ("Class Period"). (Stipulation, ¶1)

o "Class

Period" means April 10, 2023, through September 2, 2025. (Ibid.)

· "Aggrieved Employees"

means all Settlement Class Members (regardless of whether they opt-out) who worked for Defendants at any time from April 10, 2023 through September 2, 2025 (the "PAGA Period")." (¶2.B)

o "PAGA

Period" means April 10, 2023, through September 2, 2025. (Ibid.)

· For the purposes of

this Settlement Agreement only, Plaintiff and Defendants stipulate to the certification of the Settlement Class. (¶1)

TERMS OF

SETTLEMENT AGREEMENT

The

essential terms are as follows:

· The Gross Settlement Amount ("GSA") is \$355,733.00, non-reversionary. (¶3)

o Escalator Clause. Defendants represent that there are approximately 13,845 total collective workweeks worked during the Class Period. Should the actual number of workweeks during the Class Period exceed this extrapolation estimate by more than 10% (i.e., if there are 15,230 or more workweeks), Defendants shall increase the Gross Settlement Amount on a proportional basis above the 10% threshold (i.e., if there was a 12% increase in the number of workweeks above the estimated 13,845 workweeks, Defendants shall increase the Gross Settlement Amount by 2%). (¶3.D)

· The Net Settlement Amount ("NSA") (\$168,095.33) is the GSA minus the following:

o

Up to \$118,577.67 (1/3) for attorney

fees (¶¶3.C.4, 5)

- o Up to \$30,000 for litigation costs (Ibid.)

- o Up to \$10,000 for an Enhancement Award to the Class Representative (¶3.C.3);

§ The Class

Representative payment should not exceed \$7,500, absent substantial justification. Provide justification for a payment of \$10,000.

- o Up to \$8,250 for settlement administration costs (¶3.C.2); and

- o Payment of \$20,000 PAGA Penalty (75% of \$15,000 to the LWDA) (¶3.C.5).

- Defendants' share of payroll taxes shall be paid by Defendants separately from, and in addition to, the Gross Settlement Amount. (¶3.E)

.

Funding of GSA: The Gross Settlement Amount shall be deposited with the Settlement Administrator within thirty (30) calendar days of the Effective Date (which, for this purpose, shall be defined as the later of (1) date on which the Court enters an Order granting Final Approval of the Settlement Agreement or, (2) solely in the event that there are any objections to the Settlement Agreement (the filing of an objection being a prerequisite to the filing of an appeal), the later of: (i) the last date on which any appeal might be filed or (ii) the successful resolution of any appeal(s) – including expiration of any time to seek reconsideration or further review. (¶3.B)

- Payments from the GSA: Within ten (10) calendar days following Defendants' deposit of the Gross Settlement Amount with the Settlement Administrator, the Settlement Administrator will calculate Individual Settlement Payments amounts and provide the same to the Parties' counsel for review and approval. Within seven (7) calendar days of approval by the Parties' counsel, the Settlement Administrator will prepare and mail Individual Settlement Payments, less applicable taxes and withholdings, to

participating Settlement Class members. The Settlement Administrator shall simultaneously pay the withholdings to the applicable authorities with the necessary reports, submitting copies to Defendants' counsel. (§14.D)

o What about

Individual PAGA Payments?

o Ensure that

payment of the Class Representative Enhancement Award and Attorney Fees and Costs does not precede distribution of payments to Class Members and Aggrieved Employees.

· There is no claim form requirement. (§14)

· Individual Settlement Payment

Calculation: The Net Settlement

Amount shall be allocated among Settlement Class members (except those who submit a timely and valid Request for Exclusion) based on each participating Settlement Class member's proportionate workweeks worked during the Class Period, which will be calculated by multiplying the Net Settlement Amount by a fraction, the numerator of which is the participating Settlement Class member's number of workweeks worked during the Class Period, and the denominator of which is the total workweeks worked by all participating Settlement Class members during the Class Period. (§14.B.i)

o Tax Allocation: 20%

wages; 40% penalties; and 40% interest. (§14.D)

· Individual PAGA Payment

Calculation: Each Settlement

Class member who was employed by Defendants at any time during the PAGA Period (including those who submit a valid and timely Request for Exclusion from the class action settlement), shall receive a portion of the PAGA Amount proportionate to the number of workweeks worked during the PAGA Period, and which will be calculated by multiplying the PAGA Amount by a fraction, the numerator of which is the Settlement Class member's gross number of workweeks worked during the PAGA Period, and the denominator of which is the total number of workweeks worked by all participating Settlement Class members (including those who submit a valid and timely Request for Exclusion from the class action settlement) during the PAGA Period. (§14.B.ii)

o Tax Allocation: 100%

penalties. (§4.D)

· "Response Deadline"

means sixty (60) calendar days of the date of the initial mailing of the Notice

Packets. (§9.C) The Response Deadline is the deadline by which

Class Members may mail a Request for Exclusion, Workweek Dispute, or written Objection

to the Settlement Administrator. (§§9.C-9.E)

Settlement

Class members to whom Notice Packets are re-mailed after having been returned

as undeliverable to the Settlement Administrator shall have fourteen (14)

calendar days from the date of re-mailing, or until the Response Deadline has

expired, whichever is later, to submit a Request for Exclusion, Objection, or

dispute. (§9.F)

.

Uncashed Settlement Checks: Each member of the Settlement Class who receives an Individual Settlement Payment

must cash that check within 180 days from the date the Settlement Administrator

mails it. Any funds payable to Settlement Class members whose checks are not

cashed within 180 days after mailing shall be distributed to Working Wardrobes, as the cy

pres recipient. (§4.E)

o

Detail the steps

that will be taken to ensure compliance with Code of Civil Procedure section

384, which requires that the Court re-open judgments following the final

distribution of funds to include the cy pres in the judgment and to include the

unclaimed amount, plus an unspecified amount of interest. Such information

should be actively contemplated/provided for within the current terms of the

settlement.

o

Explain how

uncashed Individual PAGA Payment checks will be treated. Generally, the Administrator should transmit

the funds represented by such check to the California Controller's Unclaimed

Property Fund in the name of the Aggrieved Employee thereby leaving no "unpaid

residue" subject to the requirements of Code of Civil Procedure section 384,

subdivision (b).

0

Explain why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate.

0

Provide declarations by all parties and counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

· The settlement administrator will be Phoenix Settlement Administrators. (¶3.A; see Declaration of Jodey Lawrence.)

· Counsel submitted the proposed settlement agreement to the LWDA on February 11, 2026. (2-11-26 Proof of Service to LWDA.)

· The named Plaintiff and class members will release certain claims against Defendants. (See further discussion below).

ANALYSIS OF SETTLEMENT AGREEMENT

· Does a presumption of fairness exist?

1.

Was the settlement reached through arm's-length bargaining? Yes. On January 16, 2025, the parties participated in a full-day mediation with Steven G. Mehta, Esq., and at the end of the mediation, the parties reached a settlement based on the mediator's proposal. (Blakely Decl., ¶11.) A copy of the fully executed Stipulation of Settlement ("Stipulation") is attached to counsel Blakely's declaration as Exhibit A. (Ibid., Ex. A.)

2.

Were investigation and discovery sufficient to allow counsel and the court to act intelligently? Yes. Counsel represents that in connection with mediation, Defendants provided Plaintiff with a 20% sampling of timekeeping and payroll records for putative class members employed during a one-year Class and PAGA Period.

Defendants also produced relevant policy documents, including their written meal and rest period policies, timekeeping policies, commission-based pay plans, and overtime policies, and also provided Plaintiff with the number of current and former employees employed during the Class Period, and the corresponding number of pay periods worked by each employee and rate of pay. Plaintiff conducted a comprehensive analysis and extrapolation of the data produced by Defendants to calculate classwide damages for each of Plaintiff's claims. This discovery allowed the Parties to assess the merits and value of Plaintiff's claims, the chances of certification of Plaintiff's claims, and Defendants' potential defenses. (Blakely Decl., ¶10.)

Demonstrate that the sample is statistically reliable.

3.

Is counsel experienced in similar litigation? Yes. Class Counsel are experienced in class action litigation, including wage and hour class action cases. (Blakely Decl., ¶¶2-6; Declaration of Paul K. Haines, ¶¶2-8; Declaration of Joel M. Gordon, ¶¶2-4.)

4.

What percentage of the class has objected? This cannot be determined until the fairness hearing. See Weil & Brown, Cal. Practice Guide:

Civil Procedure Before Trial (The Rutter Group 2014) ¶ 14:139.18, ("Should the court receive objections to the proposed settlement, it will consider and either sustain or overrule them at the fairness hearing.")

CONCLUSION: The settlement is entitled to a presumption of fairness.

.

Is the settlement fair, adequate, and reasonable?

1.

Strength of Plaintiffs' case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Counsel has provided the following exposure analysis:

Violation

Maximum Exposure

Realistic Exposure

Unpaid Wage Claim

\$407,874

\$35,689

Meal Period Claim (before
5th hour)

\$679,799

\$84,975

Meal Period Claim (over
10-hour shift)

\$231,124

\$17,334

Rest Period Claim

\$1,349,032

\$84,315

Reimbursement Claim

\$79,875

\$11,981

Wage Statement Penalties

\$680,200

\$68,020

Waiting Time Penalties

\$424,260

\$26,516

PAGA Claim

\$692,300

\$43,269

Total

\$4,544,464

\$372,099

(Blakely
Decl., ¶¶15-23.)

2. Risk, expense, complexity and likely
duration of further litigation.

Given the nature of the class claims, the case is likely to be expensive
and lengthy to try. Procedural hurdles
(e.g., motion practice and appeals) are also likely to prolong the litigation
as well as any recovery by the class members.

3.

Risk of maintaining class action
status through trial. Even if a

class is certified, there is always a risk of decertification. (See *Weinstat v. Dentsply Intern., Inc.* (2010) 180 Cal.App.4th 1213,
1226 (“Our Supreme Court has recognized that trial courts

should retain some flexibility in conducting class
actions, which means, under suitable circumstances,
entertaining successive motions on certification if the court subsequently

discovers that the propriety of a class action is not appropriate.”.)

4. Amount

offered in settlement. Plaintiff's counsel obtained a \$355,733 non-reversionary settlement. This is approximately 7.8% to 95.6% of the estimated recovery which, given the uncertain outcomes, is within the “ballpark” of reasonableness.

The

\$355,733 settlement amount, after reduction by the requested deductions (assuming they are taken in full), leaves approximately \$168,095.33 to be divided among the participating class members, for an average payment of \$697.96. ($\$168,095.33 / 242 = \697.96)

5. Extent of discovery completed

and stage of the proceedings. As indicated above, at the time of the settlement, Class Counsel conducted sufficient discovery.

6. Experience and views of counsel. The settlement was negotiated and endorsed by Class Counsel who, as indicated above, are experienced in class action litigation, including wage and hour class actions.

7. Presence

of a governmental participant. This factor is not applicable here.

8. Reaction of the class members to the proposed settlement. The class members'

reactions will not be known until they receive notice and are afforded an opportunity to object and or opt-out. This factor becomes relevant during the fairness hearing.

CONCLUSION: The settlement can be preliminarily deemed “fair, adequate, and reasonable.”

Scope of the
release

· Every member of the

Settlement Class (except those who opt out and except as to the PAGA claims specified below) will fully release and discharge Defendants, and all of their past and present officers, directors, shareholders, employees, agents, principals, representatives, accountants, auditors, consultants, and their respective successors and predecessors in interest, subsidiaries, affiliates, parents and attorneys, (collectively the “Released Parties”), as follows: (¶12)

o Upon the Effective

Date and the complete funding of the Gross Settlement Amount, Settlement Class members will release all claims, demands, rights, liabilities and causes of action that were pled in the operative First Amended Class and Representative Action Complaint (“FAC”) that arose during the Class Period, including claims for: (a) failure to pay all minimum wages; (b) failure to pay all overtime wages; (c) failure to provide meal periods as required by law; (d) failure to authorize rest periods as required by law; (e) failure to provide accurate, itemized wage statements; (f) failure to reimburse for all necessary business expenditures; and (g) all claims for unfair business practices that could have been premised on the facts, claims, causes of action or legal theories described above (the “Class Released Claims”). The period of the Class Released Claims shall extend to the limits of the Class Period. (¶12.A)

o Release of PAGA

Claims.

In addition, all Settlement Class members (regardless of whether they opt out) who worked for Defendants at any time from April 10, 2023 through September 2, 2025 (the “PAGA Period”) are “Aggrieved Employees” and shall release the Released Parties from all claims for civil penalties under PAGA arising during the PAGA Period as disclosed in Plaintiff’s Notification Letter to the Labor and Workforce Development Agency (“LWDA”) (“the PAGA Released Claims”). (¶12.B)

§ Settlement Class

members who were employed by Defendants at any time during the PAGA Period and submit a valid and timely Request for Exclusion shall still be entitled to their portion of the PAGA Amount described above, and will release all PAGA Released Claims, whether they submit a valid and timely Request for Exclusion or not. (¶19.C.i)

· Plaintiff will also

provide a general and CC §1542 release as to Defendants. (¶12.C)

.
May conditional class
certification be granted?

1.

Standards

A

detailed analysis of the elements required for class certification is not required, but it is advisable to review each element when a class is being conditionally certified (*Amchem Products, Inc. v. Windsor* (1997) 521 U.S. 620, 622-627.) The trial court can appropriately utilize a different standard to determine the propriety of a settlement class as opposed to a litigation class certification.

Specifically, a lesser standard of scrutiny is used for settlement cases. (*Dunk* at 1807, fn. 19.)

Finally, the Court is under no “ironclad requirement” to conduct an evidentiary hearing to consider whether the prerequisites for class certification have been satisfied. (*Wershba* at 240.)

2.

Analysis

a.

Numerosity. There are approximately 242 Class Members. (*Blakely* Decl., ¶13.) This element is met.

b.

Ascertainability. The proposed class is defined above. The class definition is “precise, objective and presently ascertainable.” (*Sevidal v. Target Corp.* (2010) 189 Cal.App.4th 905, 919.) Class members are identifiable from Defendants’ records. (*MPA* at 20:8-9.)

c.

Community of interest.

“The community of interest requirement involves three factors: ‘(1)

predominant common questions of law or fact; (2) class representatives with claims or defenses typical of the class; and (3) class representatives who can adequately represent the class.” (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

As to

commonality, counsel

contends that Plaintiff’s claims are predicated primarily on Defendants’ alleged unlawful timekeeping policies/practices and unlawful meal and rest period policies/practices. (MPA at 20:17-20.)

As to

typicality,

counsel contends that Plaintiff’s claims are typical of the Settlement Class because (1) Plaintiff worked in California for Defendants as a non-exempt employee during the Class Period and was subject to Defendants’ wage and hour policies/practices at issue in this case and (2) Plaintiff was injured by the same challenged policies/practices that allegedly injured the Settlement Class as a whole. (MPA at 20:24-21:6.)

As to

adequacy,

Plaintiff does not have any conflicts of interest with other Class Members, understands his duties as Class Representative, has been active in litigation of the case, and is represented by adequate counsel. (MPA at 21:10-17; see Declaration of Jerammy Sanchez.)

d.

Adequacy of class counsel. As indicated above, Class Counsel have shown experience in class action litigation, including wage and hour class actions.

e.

Superiority. Given

the relatively small size of the individual claims, a class action appears to be superior to separate actions by the class members.

CONCLUSION:

The class may be conditionally certified since the prerequisites of

class certification
have been satisfied.

.

Is the notice proper?

1.

Content of class notice. The proposed notice is attached as Exhibit 1 to the Settlement Agreement. The Notice's content appears to be acceptable. It includes information such as: a summary of the litigation; the nature of the settlement; the terms of the settlement agreement; the proposed deductions from the gross settlement amount (attorney fees and costs, enhancement awards, and claims administration costs); the procedures and deadlines for participating in, opting out of, or objecting to, the settlement; the consequences of participating in, opting out of, or objecting to, the settlement; and the date, time, and place of the final approval hearing.

The

Notice Packet consists of the Class Notice (Exhibit A) and Notice of Estimated Settlement Payment (Exhibit B). (¶8.F) The Class Notice will be distributed in English and Spanish.
(Notice, p. 1.)

Correct ¶8.F of the Stipulation to indicate that the Class Notice is attached as Exhibit 1 and the Notice of Estimated Settlement Payment is attached as Exhibit 2.

2. Method of class
notice.

Class Data: Within ten (10) business days after entry of an order preliminarily approving this Settlement, Defendant will provide the Settlement Administrator with the Class Data in an electronic format satisfactory to the Settlement Administrator. (¶9.A)

Notice via direct mail:

Within ten (10) business days from receipt of this information, the Settlement Administrator shall (i) run the names of all Settlement Class members through the National Change of Address ("NCOA") database to determine any updated

addresses for Settlement Class members; (ii) update the address of any Settlement Class member for whom an updated address was found through the NCOA search; (iii) calculate the estimated Individual Settlement Payment for each Settlement Class member; and (iv) mail a Notice Packet to each Settlement Class member at his or her last known address or at the updated address found through the NCOA search, and retain proof of mailing.

(¶9.B)

Any

Notice Packets returned to the Settlement Administrator as non-delivered on or before the Response Deadline shall be re-mailed to the forwarding address affixed thereto. If no forwarding address is provided, the Settlement Administrator shall make reasonable efforts, including utilizing a “skip trace,” to obtain an updated mailing address within five (5) business days of receiving the returned Notice Packet. If an updated mailing address is identified, the Settlement Administrator shall resend the Notice Packet to the Settlement Class member immediately, and in any event within three (3) business days of obtaining the updated address. The address identified by the Settlement Administrator as the current mailing address shall be presumed to be the best mailing address for each Settlement Class member. It will be conclusively presumed that, if an envelope so mailed has not been returned within thirty (30) days of the mailing, the Settlement Class member received the Notice Packet. Settlement Class members to whom Notice Packets are re-mailed after having been returned as undeliverable to the Settlement Administrator shall have fourteen (14) calendar days from the date of re-mailing, or until the Response Deadline has expired, whichever is later, to submit a Request for Exclusion, Objection, or dispute. Notice Packets that are re-mailed shall inform the recipient of this adjusted deadline. If a Settlement Class member's Notice Packet is returned to the Settlement Administrator more than once as non-deliverable, then an additional Notice Packet shall not be mailed. Nothing else shall be required of, or done by, the Parties, Class Counsel, or Defendants' Counsel to provide notice of the proposed settlement.

Remove the

conclusive presumption that notice has been received if not returned within 30 days of mailing. Efforts to locate updated addresses for returned notices should continue throughout the 60-day notice period.

Notice of Final Judgment will be posted on the Settlement Administrator's website. (¶7)

Explain how notice of any change of the date or location of the hearing will be given.

3. Cost of class notice. As indicated above, settlement administration costs are estimated to equal up to \$8,250. Prior to the time of the final fairness hearing, the claims administrator must submit a declaration attesting to the total costs incurred and anticipated to be incurred to finalize the settlement for approval by the Court.

Attorney fees and costs

CRC

rule 3.769(b) states: "Any agreement, express or implied, that has been entered into with respect to the payment of attorney fees or the submission of an application for the approval of attorney fees must be set forth in full in any application for approval of the dismissal or settlement of an action that has been certified as a class action."

Ultimately, the award of attorney fees is made by the court at the fairness hearing, using the lodestar method with a multiplier, if appropriate. (PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095-1096; Ramos v. Countrywide Home Loans, Inc. (2000) 82 Cal.App.4th 615, 625-626; Ketchum III v. Moses (2000) 24 Cal.4th 1122, 1132-1136.) In common fund cases, the Court may utilize the percentage method, cross-checked by the lodestar. (Laffitte v. Robert Half Int'l, Inc. (2016) 1 Cal.5th 480, 503.) Despite any agreement by the parties to the contrary, "the court ha[s] an independent right and responsibility to review the attorney fee provision of the settlement agreement and award only so much as it determined reasonable." (Garabedian v. Los Angeles Cellular Telephone Company (2004) 118 Cal.App.4th 123, 128.)

The question of whether Class Counsel is entitled to \$118,577.67 (1/3 of GSA) in attorney fees will be addressed at the fairness hearing when class counsel brings a noticed motion for attorney fees. Class counsel must provide the court with billing information so that it can properly apply the lodestar method and must indicate what multiplier (if applicable) is being sought as to each counsel. Class Counsel should also be

prepared to justify the costs (capped at \$30,000)
sought by detailing how they were incurred.

.

Incentive Awards to
Class Representatives

The Settlement Agreement provides for

a Class Representative Enhancement Award of up to \$10,000 to the named Plaintiff. In connection with the final fairness hearing, the named

Plaintiff must submit a declaration attesting to why he or she should be entitled to an enhancement award in the proposed amount. The named Plaintiff must explain why he or she “should be compensated for the expense or risk she has incurred in conferring a benefit on other members of the class.” (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.)

Trial courts should not sanction enhancement awards of thousands of dollars with “nothing more than pro forma claims as to ‘countless’ hours expended, ‘potential stigma’ and ‘potential risk.’ Significantly more specificity, in the form of quantification of time and effort expended on the litigation, and in the form of reasoned explanation of financial or other risks incurred by the named plaintiff, is required in order for the trial court to conclude that an enhancement was ‘necessary to induce [the named plaintiff] to participate in the suit’” (Id. at 806-807, italics and ellipsis in original.)

The Court will decide the issue of the enhancement awards at the time of final approval.

. . . .

LOS
ANGELES SUPERIOR COURT, COMPLEX CIVIL DEPARTMENT

CHECKLIST
FOR

PRELIMINARY
APPROVAL OF CLASS ACTION SETTLEMENT

Department:
SSC-11

RE: Jerammy Sanchez v. UAG Cerritos I, LLC,
et al. (Case No. 24STCV09094)

In reviewing your motion
for preliminary approval of class action settlement, the Court orders further
briefing on the items checked below.

The additional briefing
shall be due by _____, 2026. Note: if briefing is not filed by said date
the hearing will be placed off calendar. Your hearing date set for _____, is
continued to the first available date of
_____ at _____ in Department 11.

This checklist
provides direction on what information and argument the court requires to grant
a motion for preliminary approval of a class action settlement. All parties are urged to carefully review the
checklist and fully comply with each item that applies to the case in order
that the motion may be promptly ruled upon. The content of the motion should follow the
same order as this checklist, as that is how the judge and research attorney
review the motion.

You should also consider using the form wage and hour
settlement agreements now available on the court's website at <https://www.lacourt.org/forms/all> – "Civil Forms" section.
With input and unanimous consensus from an Ad Hoc Wage and Hour
Committee (chaired by Judge Hogue and Judge Cunningham and comprised of 8
plaintiff's attorneys and 8 defense attorneys), the court has posted: (1) a form class action settlement
agreement, (2) a form class action/PAGA settlement
agreement, (3) and a form PAGA settlement agreement. Using these
forms should cut down on attorney negotiation time and reduce the lag time
between a successful mediation and execution of a long form agreement. Filing a motion that is based on a form
agreement and includes a redlined copy identifying modifications will also
expedite the court's review process and help reduce the current backlog on
hearings. These forms are encouraged but
entirely optional.

I.
MOVING PAPERS (Motion and Declarations)

All facts
submitted for the court to consider must be provided in the form of a

declaration or other admissible evidence. The court will not consider facts stated only in the motion.

A. Introductory Information

¿ Summary

of the litigation, including identity of the parties, brief procedural history, claims asserted, and general factual basis for the claims.

B. Dunk/Kullar Analysis

¿ Summary

of the case, including the legal and factual basis for each claim. (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 133 (Kullar); Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles (2010) 186 Cal.App.4th 399, 409.)

¿ Summary

of the investigation and discovery conducted, including the specific documents reviewed prior to agreeing to settle the case. (Dunk v. Ford Motor Co. (1996) 48 Cal.App.4th 1794, 1802, as modified Sept. 30, 1996 (Dunk).) If counsel's analysis was informed by a data sample, show that the sample is statistically reliable.

Counsel represents that in connection with mediation, Defendants provided Plaintiff with a 20% sampling of timekeeping and payroll records for putative class members employed during a one-year Class and PAGA Period. (Blakely Decl., ¶10.) Demonstrate that the sample is statistically reliable.

¿ Summary of settlement

negotiations, including when the settlement was reached, and

whether the

parties were assisted by a mediator. (Dunk, supra, 48 Cal.App.4th at p. 1802.)

¿ A

summary of the risks, expenses, complexity, and duration of further litigation

if the

settlement is not
approved.

¿ A summary
of the risks of achieving and maintaining class action status.

¿
Specific information sufficient for the court to make an independent determination that the consideration being received for the release of class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation. (Kullar, *supra*, 168 Cal.App.4th at 129.) This discussion should specify the maximum realistic recovery of each claim asserted in the operative complaint, defenses asserted by Defendant, and any other relevant factors justifying the amount offered in settlement. If the settlement is predicated on a payment plan or is predicated on defendant's financial situation, admissible evidence of Defendant's financial situation should be provided, including appropriate financial documents such as a balance sheet, statement of cash flows, profit and loss statement, and the like.

¿ If
approval of the settlement of class claims is requested together with approval of non-class claims (such as claims under the Labor Code's Private Attorney General Act (PAGA)) discuss why the amount allocated to the non-class claims is fair to those affected. See *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 77 (*Moniz*).

C. Class Certification

¿
Numerosity: Total number of members in the settlement class and number of members in each sub-class (if applicable).

¿
Ascertainability: The manner by which members of the class will be identified and when. (*Noel v. Thrifty Payless* (2019) 7 Cal.5th 955.)

¿

Community of Interest: Discuss specific facts showing that the proposed class representatives have claims or defenses typical of the class and can adequately represent the class. (Linder v. Thrifty Oil Co. (2000) 23 Cal.4th 429, 435.)

¿

Adequacy:

Class Counsel: A summary of Class Counsels' experience and a listing of all prior cases in which each named Class Counsel has been approved by a court to act as lead or co-counsel. (See Dunk, supra, 48 Cal.App.4th at p. 1802.)

Class Representative(s): Provide evidence that each proposed class representative has agreed to act as same and understands his or her responsibilities. (See Soderstedt v. CBIZ Southern California, LLC (2011) 197 Cal.App.4th 133, 155-156; Jones v. Farmers Ins. Exchange (2013) 221 Cal.App.4th 986, 998-999).

D. Claim

Requirement (if applicable)

¿ If

class members are required to submit a claim to receive compensation, explain why a claim form is necessary and either 1) provide an estimate of the anticipated claims rate or 2) provide an explanation why a claims rate cannot be provided.

¿ Provide

a detailed explanation why a "claims made" settlement is appropriate in this case.

¿ Indicate

what actions class counsel will take to encourage claim submission.

¿ Explain

why the claims process is not so burdensome that relief would be inaccessible to class members (if applicable).

E. Miscellaneous

¿ If

appropriate, explain why the settlement includes terms that are outside the scope of the operative complaint. (*Trotsky v. Los Angeles Fed. Savings & Loan Assn.* (1975) 48 Cal.App.3d 134, 148.) If approval of settlement of a PAGA claim is requested provide a copy of Plaintiff's notice letter to the LWDA.

¿ If

notice will be given in English only, explain why this is sufficient.

¿ A

statement of any affirmative obligations to be undertaken by the class member or class counsel and the reason for such obligations.

¿ Provide

information regarding any fee splitting agreement and whether the client has given written approval. (*Mark v. Spencer* (2008) 166 Cal.App.4th 219; Rules Prof. Conduct, rule 1.5.1; Cal. Rules of Court, rule 3.769.)

¿ Any

agreement that has injunctive relief against a class representative generally is not appropriate in a class action case. Provide the authority and factual reasons why this case is an exception. See *Moniz*, supra, 72 Cal.App.5th at 84. ("[T]he preclusive effect of a prior judgment is determined by the court in which it is asserted, not the court that rendered it." (*Fireside Bank Cases* (2010) 187 Cal.App.4th 1120, 1131 [115 Cal. Rptr. 3d 80].))

¿

Explanation as to why any class representative enhancement is reasonable, including what the class representative did beyond the expected services of any class representative. (*Munoz v. BCI Coca-Cola Bottling Co. of Los Angeles* (2010) 186 Cal.App.4th 399, 412; *Radcliffe v. Experian Information Solutions Inc.* (9th Cir. 2013) 715 F.3d 1157, 1165.) In PAGA settlements explanation should be provided as to why an incentive award is appropriate.

.

The Class Representative payment

should not exceed \$7,500, absent substantial justification. Provide justification for a payment of

\$10,000.

SETTLEMENT AGREEMENT

The settlement
agreement should address the following:

A. The Basics

¿ Class
definition. If a PAGA representative action is settled with a proposed Class
Settlement consider whether there should be separate definitions for Class
Members and Aggrieved Employees.

¿ Class
and Release Period: If the class and release periods extend beyond the
preliminary approval explain why this is appropriate.

B. Release of Claims

¿ Scope:
The scope of any release given by class members must be defined with precision
and clarity. Any released claims not presented directly in the operative
complaint should be based on the facts alleged in the operative complaint. (See
Amaro v. Anaheim Arena Mgmt. (2021) 69 Cal. App. 5th 521, 537 and FN. 5;
Uribe v. Crown Building Maintenance Co. 70 Cal. App. 5th 986, 1005.)

¿ Class
cases which include a PAGA claim should have a separate release for the PAGA
claim tied to the facts alleged in the notice given to the LWDA. Id.

¿ If PAGA and Class
Settlement: The Release and Notice should provide an explanation that released
claims include all PAGA claims that could have been premised on the facts
alleged in the Plaintiff's LWDA Letter and aggrieved employees will release
PAGA claims even if class members request exclusion from the class. See Robinson
v. Southern Counties Oil Co. (2020) 53 Cal.App.5th 476.

¿ A Civil

Code section 1542 waiver is generally not appropriate in a class action case as to the putative class members (if applicable). Provide the authority and factual reasons why this case is an exception. (Israel-Curley v. California Fair Plan (2005) 126 Cal.App.4th 123, 129; Salehi v. Surfside III Condominium Owners' Assn. (2011) 200 Cal.App.4th 1146, 1159–1161.)

¿ Release

Effective Date: Indicate the point in time at which the release will be deemed effective as to the absent class members. If the release will be effective before settlement funds are paid, explain why this is in the best interest of the class.

¿ Class

Data: If there are confidentiality provisions, explain why they are in the best interest of the Class and whether they will impede Class Counsel's ability to discharge fiduciary duties.

C. Monetary Terms of Settlement

¿

Settlement Amount: Indicate the amount of the gross settlement, how and when the

settlement will be paid, and information regarding payment plan, if any. If a class claim is being settled with a PAGA claim the amounts allocated should be separated and paid only to the aggrieved employees.

¿

Deductions from the settlement fund: Indicate the amounts to be deducted from the gross settlement for attorneys' fees and costs, plaintiff incentive awards, administrative costs, PAGA payment and allocation of award to LWDA and the parties, and any other existing deductions.

¿ If

there are subclasses, explain why the monetary distribution is fair to each subclass. Ensure there is a class representative who fits the definition of each subclass.

¿

Information about how attorney fees will be calculated. The percentage method, with or without a lodestar cross-check, may be used in common fund cases. (Laffitte v. Robert Half Internat., Inc. (2016) 1 Cal.5th 480, 503.) In other cases, counsel should fully brief how the fees are calculated.

¿ If

wages are involved, explain how Defendant's share of taxes will be paid.

¿

Whether, and under what circumstances, amounts may revert to Defendant, and a

justification for such reversion (if applicable). (Cundiff

v. Verizon California, Inc. (2008) 167 Cal.App.4th 718, 728–729.)

¿ Payment

Formula: Amount and manner of distribution of the compensation to each class member, including the estimated amount each class member will receive and the timeline on which payments will be issued.

.

Ensure that payment of the Class

Representative Enhancement Award and Attorney Fees and Costs does not precede distribution of payments to Class Members and Aggrieved Employees.

.

In several parts of the Stipulation and

Notice, the parties refer to Individual Settlement Payments but do not address

Individual PAGA payments, including, but not limited to, the following: ¶¶4.D

and 9.B of the Stipulation, page 4 of the Notice, and the Notice of Estimated Settlement Payment form (Exhibit 2).

· ¿ Tax allocation of

settlement payments.

¿ Nature

of injunctive relief (if any), and valuation of such relief.

D. Notice Administration

The following
issues regarding notice administration should be addressed in the settlement
agreement. A copy
of the proposed notice must be attached to the settlement agreement as an
exhibit.

¿
Indicate the administrator for the settlement and why the bid for
administration is fair.

¿ Provide
the qualifications and experience of the Administrator, including evidence that
the settlement administrator has procedures in place to protect the security of
class data and adequate insurance in the event of a data breach or defalcation
of funds.

¿
Indicate how/when the administrator will receive the class list.

¿
Indicate whether the list will be updated by the administrator prior to the
initial mailing by use of National Change of Address Registry.

¿ Provide
the deadline for the initial issuance of notice to class members.

¿ Ensure
the content of the notice complies with California Rules of Court, rule
3.766(d). In wage and hour cases the notice should indicate the specific amount
the class member will receive and how that amount was calculated. A separate
breakdown for PAGA payments should be provided. The terms of the
release(s) should be reflected in the Notice.

¿ Ensure
the notice accurately reflects the Court's current social distancing procedures
for attendance at hearings and review of court files. (Counsel should check the
Court website for most current information.)

¿

Indicate how and when payments will be processed.

¿ Indicate

how notices returned to the administrator as undeliverable will be handled.

¿ Explain

how re-mailed notices, if any, will be handled. Will class members who receive re-mailed notices be given an extended deadline to respond (i.e., opt-out, object, and dispute workweeks)?

· According to the

Stipulation: "It will be conclusively presumed that, if an envelope so mailed has not been returned within thirty (30) days of the mailing, the Settlement Class member received the Notice Packet."

(¶19.F) Remove the conclusive

presumption that notice has been received if not returned within 30 days of mailing. Efforts to locate updated

addresses for returned notices should continue throughout the 60-day notice period.

¿ Explain

how notice of any change of the date or location of the hearing will be given.

¿

Indicate whether there will be a settlement website. If so, provide the URL.

¿ If

publication notice will be given indicate the timing, locations, and manner by which publication notice will be disseminated.

¿

Explain how notice of final judgment will be given to the class. (Cal. Rules of Court, rule 3.771(b)) (e.g. Posted on administrator's website.)

E. Responses to Notice

¿

Description of the procedures for submitting written objections, requests for exclusion, claim forms (if applicable) and disputes to estimated payments.

¿

Indicate the deadline to submit objections, requests for exclusion, claim forms (if applicable), and/or disputes to workweeks. Confirm the deadline is reasonable and that class members who receive re-mailed notices will be given an extension.

¿ The

objection procedure should be the same as the opt-out procedure, with the only requirement being that objections be mailed to the settlement administrator and not filed with the court.

¿ Do not

include language indicating that class members may only be heard at final approval if they have complied with all objection procedures or that they must use specific language to request exclusion, or, if a specific procedure is sought, explain why it is necessary. In general, the court will hear from any class member who attends the final approval hearing and asks to speak regarding his or her objection.

F. Cy Pres Distribution

¿

Indicate the length of time from issuance for which settlement checks will remain valid.

¿

Identify the fund to which uncashed checks will be directed and detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384. The Court's Omnibus Trailer Bill of 2018 replaced the language of the prior statutory distribution scheme under Code of Civil Procedure, section 384 with a requirement that the Court re-open judgments following the final distribution of funds to include the cy pres in the judgment and to include the unclaimed amount, plus an unspecified amount of interest. Such information should be actively contemplated/provided for within the current terms of the settlement.

.

Detail the steps that will be taken to ensure compliance with Code of Civil Procedure section 384.

·
Explain how uncashed Individual PAGA

Payment checks will be treated.

Generally, the Administrator should transmit the funds represented by such check to the California Controller's Unclaimed Property Fund in the name of the Aggrieved Employee thereby leaving no "unpaid residue" subject to the requirements of Code of Civil Procedure section 384, subdivision (b).

¿ Explain

why the cy pres distribution fulfills the purposes of the lawsuit or is otherwise appropriate. (State of California v. Levi Strauss & Co. (1986) 41 Cal.3d 460, 472; In re Microsoft I-V Cases (2006) 135 Cal.App.4th 706, 722; Nachshin v. AOL, Inc. (9th Cir. 2011) 663 F.3d 1034, 1038–1041; Dennis v. Kellogg Co. (9th Cir. 2012) 697 F.3d 858, 865; Code Civ. Proc., § 384.)

¿

Provide declarations by all parties and counsel disclosing any interest or involvement (or lack thereof) in the governance or work of the cy pres recipient.

G. MISCELLANEOUS

¿ Assure the Settlement Agreement and Notice

are consistent and that the Settlement Agreement (including revised versions) has been signed by all parties and counsel. Carefully proofread both.

¿ The

Settlement Agreement and paperwork derivative thereof should not suggest that the end result of court approval will be dismissal of the Action with prejudice or entry of a Final Judgment and Order dismissing with prejudice all claims.

See

California Rules of Court, rule 3.769(h).

III. EXHIBITS TO THE MOTION

¿

Provide proof of submission of the proposed settlement agreement to the LWDA.

(Lab. Code, § 2699, subd. (l)(2).)

¿ Include

a proposed Judgment, which should not include a dismissal or any findings not contained in the Final Approval Order. (Cal. Rules of Court, rule 3.769(h).)

¿ All

exhibits should be bookmarked, as set forth in the Presiding Judge's First Amended General Order of May 3, 2019 re: Electronic Filing, available on the Court website.

· Correct ¶8.F of

the Stipulation to indicate that the Class Notice is attached as Exhibit 1 and the Notice of Estimated Settlement Payment form is attached as Exhibit 2.

If the Settlement Agreement is modified pursuant to this checklist, please submit both a red-lined copy showing changes made as well as a final version signed by all parties and counsel. Do not submit an addendum in lieu of a full amended settlement agreement including all operative settlement terms.

Modify notice to match any alterations to the Settlement Agreement.

Date: August 24, 2026

JUDICIAL
OFFICER